### Illustration 4

From the following information, prepare capital accounts of partners Mannan and Sevagan, when their capitals are fluctuating.

| Particulars | Mannan ₹ | Sevagan ₹ |
|---|---|---|
| Capital on 1st January 2018 (Cr. balance) | 2,00,000 | 1,75,000 |
| Drawings during 2018 | 40,000 | 35,000 |
| Interest on drawings | 1,000 | 500 |
| Share of profit for 2018 | 21,000 | 16,500 |
| Interest on capital | 12,000 | 10,500 |
| Salary | 18,000 | Nil |
| Commission | Nil | 2,500 |

### Solution

**Dr.** **Partners' Capital A/c** **Cr.**

| Particulars | Mannan ₹ | Sevagan ₹ | Particulars | Mannan ₹ | Sevagan ₹ |
|---|---|---|---|---|---|
| To Drawings A/c | 40,000 | 35,000 | By Balance b/d | 2,00,000 | 1,75,000 |
| To Interest on drawings A/c | 1,000 | 500 | By Profit and loss appropriation A/c | 21,000 | 16,500 |
| To Balance c/d | **2,10,000** | **1,69,000** | By Interest on capital A/c | 12,000 | 10,500 |
| | | | By Salary A/c | 18,000 | - |
| | | | By Commission A/c | - | 2,500 |
| | 2,51,000 | 2,04,500 | | 2,51,000 | 2,04,500 |
| | | | By Balance b/d | 2,10,000 | 1,69,000 |

## 3.6.3 Differences between fixed capital method and fluctuating capital method

Following are the differences between fixed capital method and fluctuating capital method of maintaining capital accounts of partners:

| Basis of distinction | Fixed capital method | Fluctuating capital method |
|---|---|---|
| 1. Number of accounts | Two accounts are maintained for each partner, that is, capital account and current account. | Only one account, that is, capital account is maintained for each partner. |



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